

NASDAQ: SLM

Chris Thompson

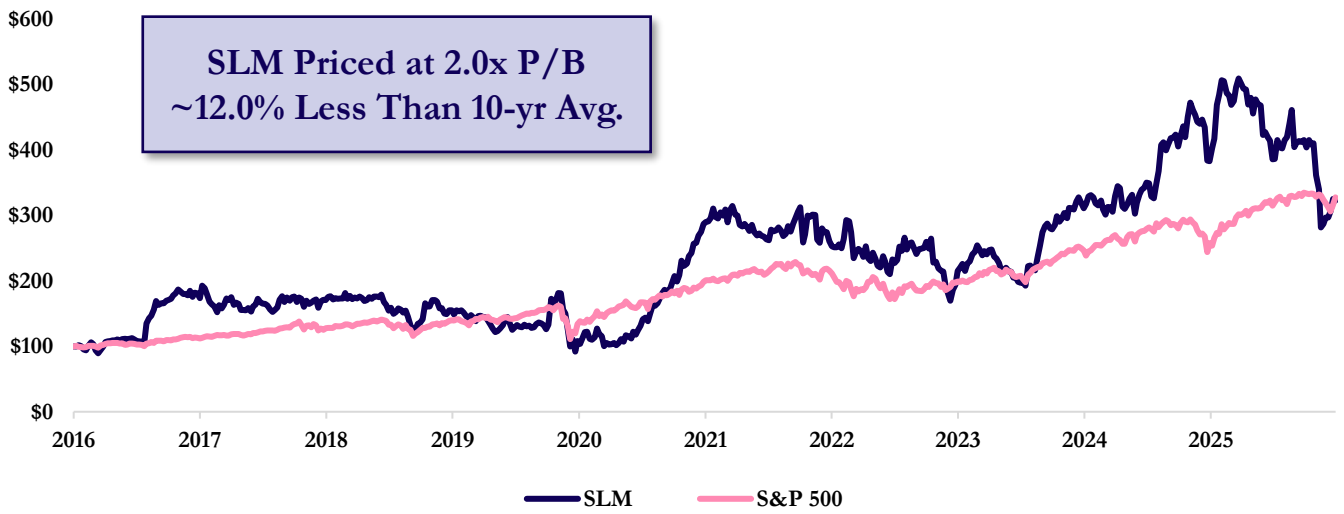
Everyone Needs Sallie

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Thesis Overview

- Sallie Mae is the dominant leader in private student lending, mispriced by the market due to recent headline driven selling pressures
- The elimination of Grad PLUS loans creates a **$6B origination opportunity** where SLM's **leading market share & ~2,100 school relationships** provide them with a structural advantage to capture this tailwind
- Partnership with KKR shifts SLM toward a fee-based model, **generating recurring revenue while reducing balance sheet risk**

SLM vs. S&P 500 10-yr Performance



Bull Case – $38.00
64.00% Upside

Base Case – $30.00
31.00% Upside

Bear Case – $17.00
23.00% Downside

Stock Data[1]

Share Price (4/20/2026):	$23.11
Price Target:	$30.00
Implied Upside	31.00%
Market Cap:	$4.37bn
FWD P/E:	6.94x
Beta:	1.3
Short Float:	11.58%

(1) FinViz

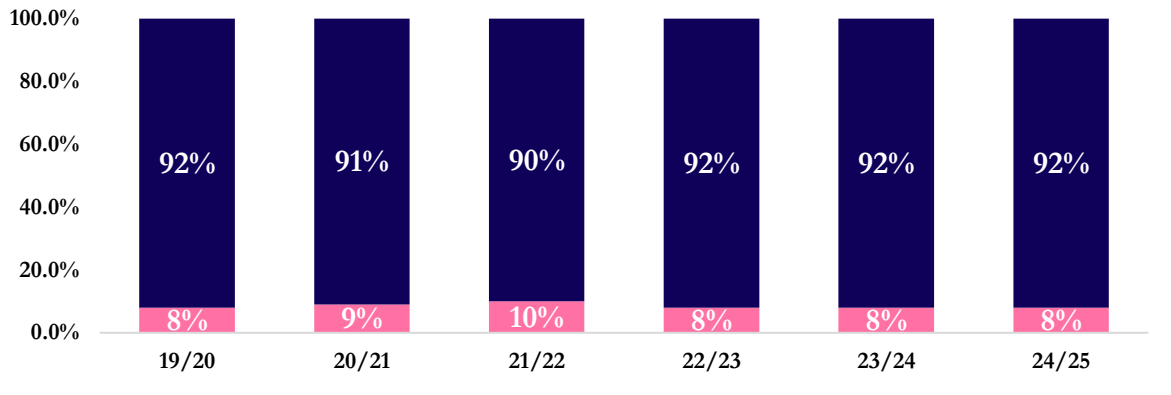
Where Federal Aid Ends, Sallie Mae Begins

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Business Overview[1]

- **Largest private student lender in the U.S.**, originating $7.4B in FY2025 to cover gaps between federal aid and cost of attendance
- Flagship Smart Option Student Loan (undergraduate) with three repayment structures
- Six specialized graduate loan **products represent 9% of the portfolio**
- Revenue generated through net interest income on the $22.7B loan portfolio and fee income from loan sales and servicing
- Funded through Sallie Mae Bank, an FDIC-insured industrial bank with $21.1B in deposits

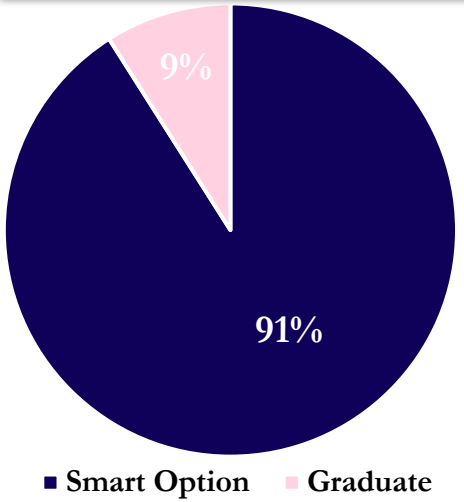
Private vs Govt. % of Student Lending[2]



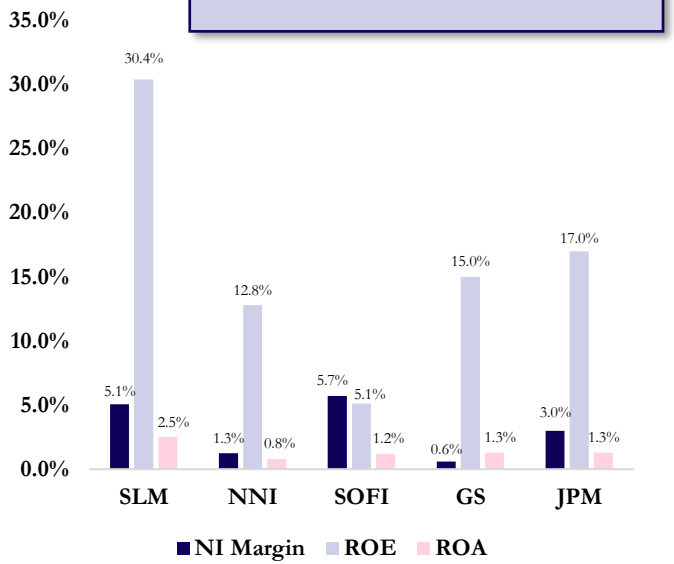
Smart Option Loan

Interest Only (20%)	Borrower pays monthly while in school & 6-month grace period.
Fixed Payments (33%)	Borrower pays flat $25/month payments while in school. Reduces total interest vs. deferred.
Deferred (38%)	No payments required until 6 months after graduation. **Highest total interest** over loan.

Loan Portfolio



SLM vs. Financials Sector



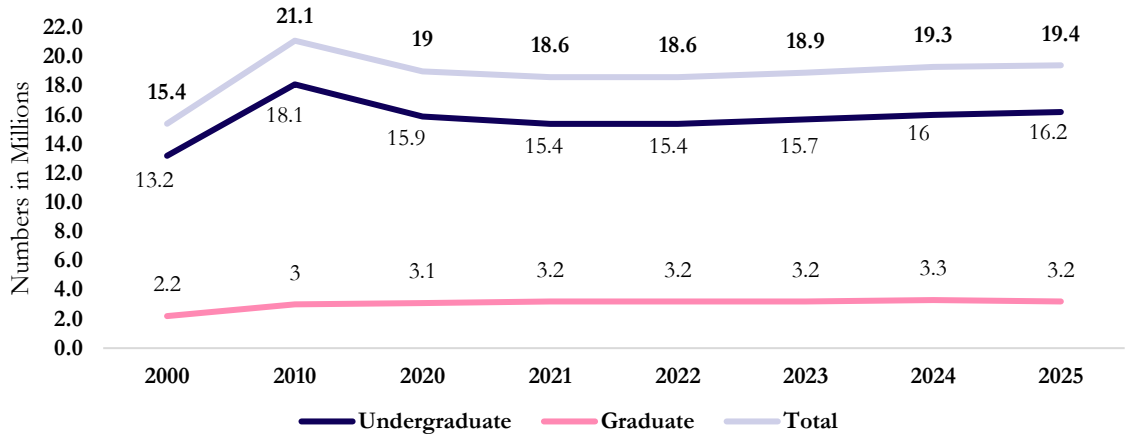
(1) SLM 2025 10k | (2) Federal Student Aid

The Industry's Report Card

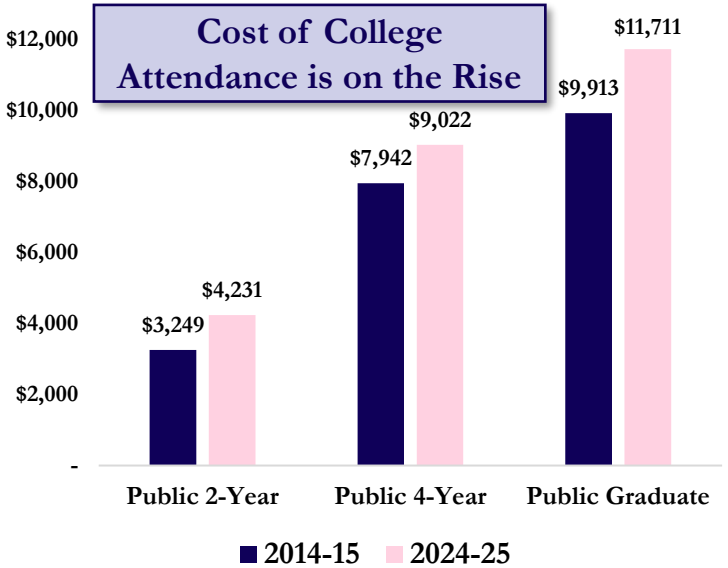
The Private Student Lending Market

- U.S. student loan debt **totals $1.8 trillion** as of Q4 2025, with federal loans representing ~92% ($1.696T) and private loans 8% ($145B)[1]
- Private student loan market grew **from $133B in 2024 to $145B** in 2025 (+9% YoY), projected to reach $319B by 2032 at a 10.1% CAGR[2]
- Federal caps are now binding for graduate students at **$100K total ($25,000 annual)** and professional students at **$200K total ($50,000 annual)** effective July 2026

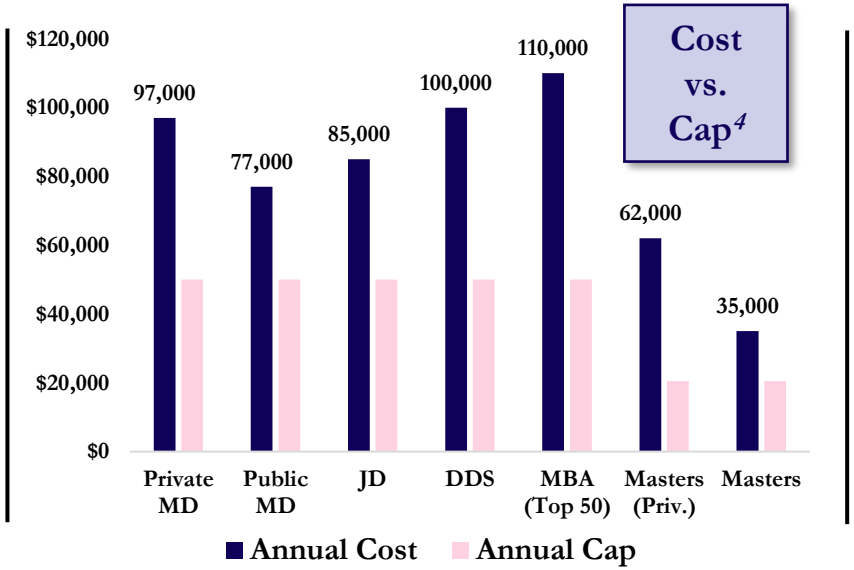
College Enrollment 2000 - 2025[3]



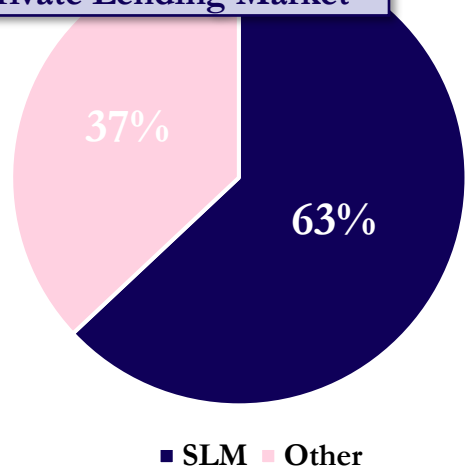
Cost of College Attendance is on the Rise



Cost vs. Cap[4]



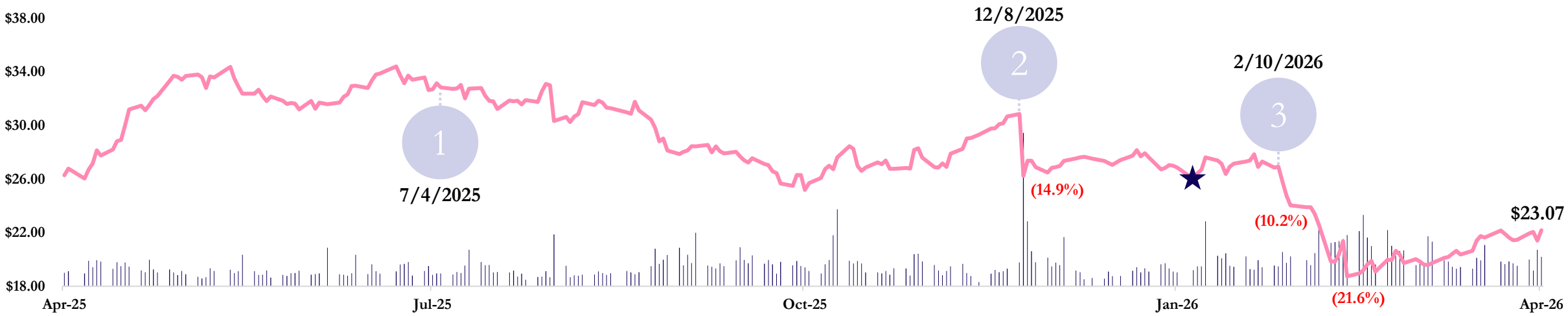
Sallie Mae Dominates the Private Lending Market



(1) Federal Reserve Bank of NY | (2) Eneterval Analytics 2025 Q3 Private Student Loan Report | (3) U.S. Dept. of Education | (4) AAMC Tuition & Student Fees Report 2024-25

Understanding the Price Action

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What the Market Has Priced

1. Elimination of Grad PLUS loans signed, yet shares barely reacted, reflecting skepticism towards SLM's ability to capture displaced volume.
2. Management's 2026 guidance came in ~20% below consensus, raising concerns that the 'investment year' framing was masking permanent margin compression.
3. Shares sold off alongside private credit industry on SaaS exposure fears compounded by spike in federal student loan delinquencies.

How we See it Differently

2025 originations of **$7.4B will grow to $14B+ by 2030** as 440,000+ displaced Grad PLUS borrowers need financing. With 2,100+ university relationships and 63% market share, the capture is structural.

2026 OpEx growth reflects deliberate build-out of graduate lending capacity ahead of July 2026 Grad PLUS elimination. Strong projected 2027 EPS growth, near-term weakness is a setup, not a trend.

As a student loan provider, **SLM has zero SaaS exposure**. The subsequent sell off on federal delinquency data ignores that SLM's **private 90+ day delinquencies are far less**, protected by a 92% cosign rate and 756 FICO.

Underwritten, Cosigned, Protected

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Private vs Federal Delinquencies

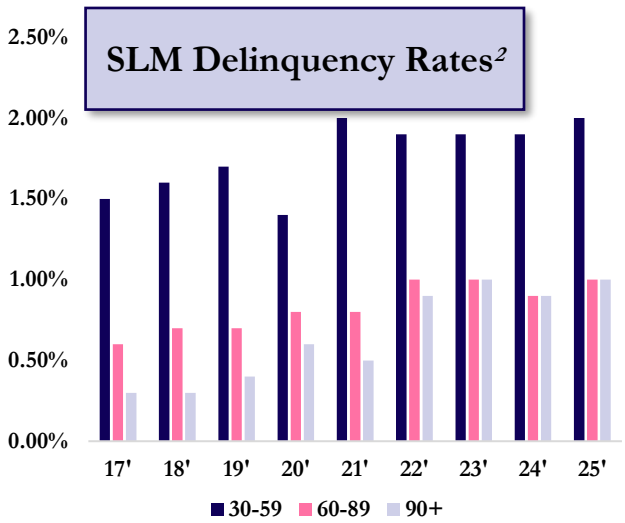
- Federal and private student loans are fundamentally different credit products: private loans are 93% cosigned with 756 average FICO, **federal loans have no underwriting**
- **Private 90+ day delinquencies sit at 1.7%** while **federal spiked to 9.57%** in Q4 2025, up from 0.53% a year prior[1]
- The spike driving SLM's selloff is a federal loan story, not SLM's portfolio, the private industry average of **1.71% still sits 10x below federal**
- Management tightened modification policy in 2025 to 60+ day delinquent borrowers, **adding ~25bps to reported delinquency**. This is a conservative policy shift, not credit deterioration.

"Nearly 90% of SLM 's loans are cosigned, typically by a parent or grandparent, **mitigating credit risk**. We also **see an opportunity for significant growth in graduate student lending** as the federal government exits the market following provisions in the One Big Beautiful Bill Act."
- Greenlight Capital 2026 Q1 Investor Letter

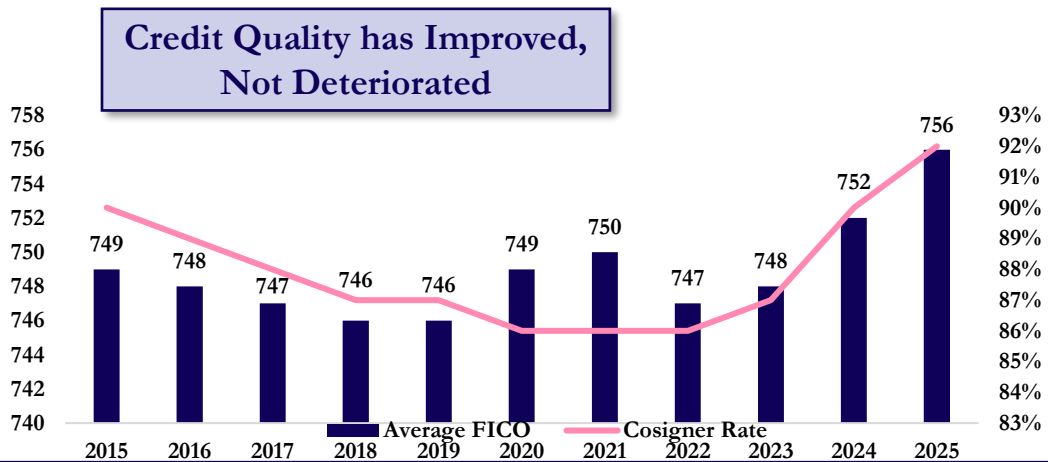
FY2025 NCO rate improved to 2.15% vs. 2.19% in 2024

Graduate delinquencies are consistently ~30-40bps below undergraduate, supporting credit quality in SLM's graduate growth sector

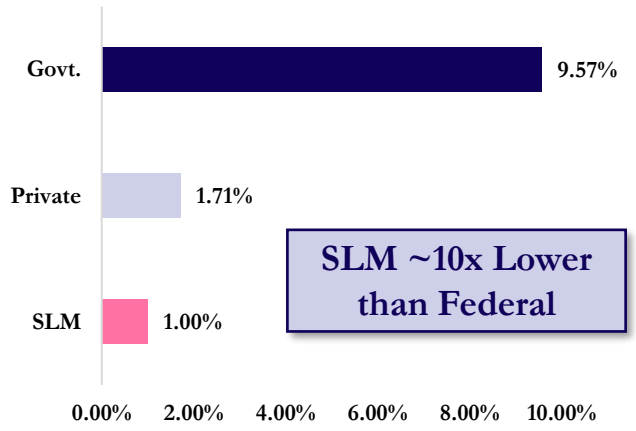
SLM Delinquency Rates[2]



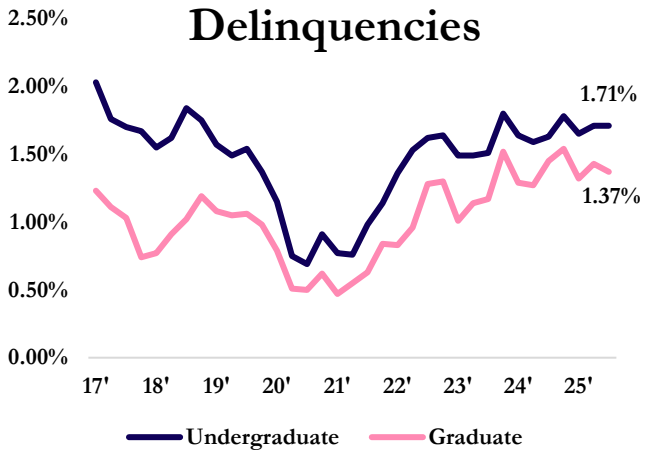
% Loans Cosigned & Avg. FICO[1]



90+ Day Delinquency Rates



Undergrad vs. Grad Delinquencies



(1) Federal Reserve Bank of NY Quarterly Report on Debt & Credit | (2) SLM 2025 Q4 Press Release

Multiple Drivers Compound the Opportunity

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OBBBA Eliminates Grad PLUS Loans

- Management guides $4.5-5B in incremental annual originations from Grad PLUS displacement, which appears **conservative against our bottom-up $15B TAM analysis, implying a ~$6B capture**
- SLM's **2,100+ university relationships and 63% undergraduate market share** provide the structure to capture graduate displacement, schools' direct students to preferred lenders, and SLM sits on virtually every preferred lender list
- $750M investment in 2026 **expands graduate sales force and builds relationships at new institutions**; competitors (SoFi, College Ave, Ascent) lack comparable school networks and can't build it in 12 months

Projected Loan Originations



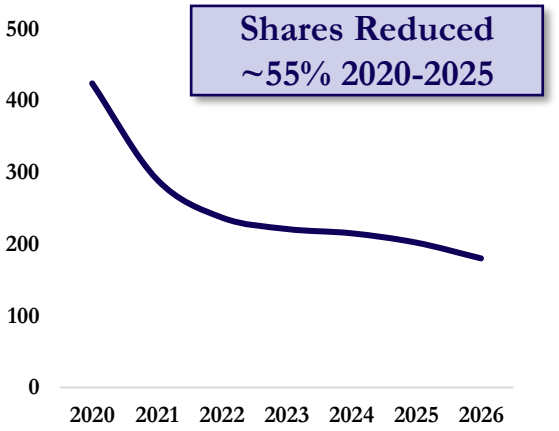
Partnership With KKR

- KKR commits to purchase **$2B+ in newly originated private credit education loans** annually over the **next 3 years**
- Partnership **validates private student loans as an institutional asset** following KKR's acquisition of Discover's ~$10B portfolio in 2024
- Reduces forward credit exposure, ~25-30% of originations shift off balance sheet and **KKR holds delinquency risk**
- Management has guided **similar partnerships** to come in the **next 12 months**

KKR Buys Student Loans → Reduced Forward B/S Risk → Guided Additional Partnerships

$500 Million Share Repurchase Program

- $500M repurchase program approved on 1/22/2026
- Management continues aggressive repurchases at depressed valuations, views shares as undervalued
- Management has returned $4.4B in capital through repurchasing 234M shares



Paid to Wait, Positioned to Win

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Valuation	
Cost of Equity	10.08%
Perpetuity Growth Rate	2.50%
PV of TV	4,533
PV of NI Distributable	1,462
Equity Value	**5,995**
Shares Outstanding	198
Implied Share Price	**$30.25**
Upside	*30.92%*

Valuation Methodology

- Interest income is built bottom-up by rolling forward the loan portfolio (originations, sales, paydowns) and applying yield and funding cost assumptions to average loan balances, followed through distributable earnings after CET1 retention.

SLM offers 31% upside with a high-quality credit book, structural Grad PLUS tailwind, and aggressive capital return

$MM	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Total Interest Income	**2,029**	**2,592**	**2,619**	**2,628**	**2,397**	**2,503**	**2,732**	**3,048**	**3,387**
Growth %	14.29%	*27.71%*	*1.07%*	*0.33%*	*(8.8%)*	*4.41%*	*9.18%*	*11.55%*	*11.11%*
Interest Expense	**543**	**1,030**	**1,138**	**1,125**	**1,029**	**1,080**	**1,185**	**1,328**	**1,483**
Growth %	42.12%	*89.77%*	*10.50%*	*(1.1%)*	*(8.5%)*	*4.91%*	*9.71%*	*12.10%*	*11.65%*
Net Interest Income	**1,487**	**1,562**	**1,481**	**1,503**	**1,367**	**1,423**	**1,548**	**1,720**	**1,904**
Growth %	6.67%	*5.04%*	*(5.2%)*	*1.46%*	*(9.0%)*	*4.03%*	*8.78%*	*11.14%*	*10.69%*
Total Revenue	**1,821**	**1,809**	**1,849**	**1,985**	**1,782**	**1,854**	**2,017**	**2,242**	**2,481**
Growth %	(10.1%)	*(0.7%)*	*2.25%*	*7.35%*	*(10.2%)*	*4.03%*	*8.78%*	*11.14%*	*10.69%*
EBT	**631**	**778**	**799**	**993**	**732**	**734**	**823**	**971**	**1,130**
Growth %	(59.1%)	*23.40%*	*2.61%*	*24.28%*	*(26.2%)*	*0.22%*	*12.17%*	*17.91%*	*16.35%*
Net Income to Common Equity	**460**	**564**	**590**	**729**	**540**	**541**	**609**	**719**	**839**
Growth %	39.80%	*22.54%*	*4.67%*	*23.57%*	*(25.9%)*	*0.23%*	*12.39%*	*18.21%*	*16.57%*
CET1 Equity Contribution Target		6.00%	26.00%	33.00%	40.00%	40.00%	40.00%	40.00%	40.00%
Net Income Distribuatable to Share Holders	**460**	**530**	**437**	**489**	**324**	**325**	**365**	**432**	**503**
Partial Period Adj.					*234*	*325*	*365*	*432*	*503*
PV of NI Distributable					**226**	**289**	**295**	**317**	**335**

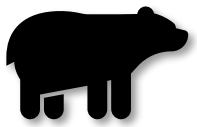
Key Drivers

- 2026 opex increases ~14% in preparation for graduate expansion
- Loan yield assumptions are held flat
- Originations accelerate to levels of 18% & 16% in 2027 & 2028 respectively, then stabilize to historical average
- CET1 at 40% constant to standard banking practices for conservatism

What Could Go Wrong, What Could Go Right

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Risks



Class Action Lawsuit:

Class action filed in 2025 over July-August delinquency disclosures; based on a third-party analyst report, not regulatory finding

Why this doesn't change our view:

- Motion to dismiss expected
- SLM's Q3 delinquency disclosures were accurate and compliant with PSLRA.

Credit Deterioration:

Spike in graduate unemployment could impair repayment performance; SLM's leveraged balance sheet amplifies downside in economic downturns

Why this doesn't change our view :

- Higher cosigner rates and FICO scores vs. federal loans spread credit risk to higher-income guarantors

KKR Partnership:

Originate-and-sell model compresses NII; requires new infrastructure, relationships, & revenue streams

Why this doesn't change our view :

- KKR commits to $2B+ annual purchases for 3 years, providing volume certainty and offloading balance sheet risk

Catalysts

Q1 2026 Earnings (4/23/2026)

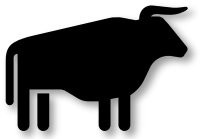
- First print since the December 2025 guidance cut that sent shares down sharply
- OpEx and originations tracking to the 12-14% guide confirms framing that the weakness is a front-loaded investment, not structural margin compression

Grad PLUS Elimination Into Effect

- Elimination of Grad PLUS loans is already law
- Fall 2026 enrollment and disbursement data, disclosed around Q3 earnings, provides the first independent read on SLM's capture rate of displaced origination volume

Remaining Buyback Authorization

- ~$300M of the approved authorization remains undeployed
- Each additional tranche or ASR announcement is a discrete, EPS accretive event at current depressed multiples





Appendix

Income Statement Drivers

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$MM	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Loan Roll Forward										
BOP	19,183	20,341	19,627	20,306	20,902	20,332	20,789	22,352	24,980	28,077
(+) New Originations	6,333	6,465	7,064	7,588	8,144	9,202	10,859	12,596	13,856	14,687
(-) Loan Sales	(2,724)	(4,612)	(3,947)	(4,749)	(6,440)	(6,500)	(7,000)	(7,500)	(8,000)	(8,500)
(-) Paydown	(2,450)	(2,567)	(2,437)	(2,242)	(2,273)	(2,245)	(2,296)	(2,468)	(2,759)	(3,101)
EOP	**20,341**	**19,627**	**20,306**	**20,902**	**20,332**	**20,789**	**22,352**	**24,980**	**28,077**	**31,164**
Growth %		*(3.5%)*	*3.46%*	*2.93%*	*(2.7%)*	*2.25%*	*7.52%*	*11.76%*	*12.40%*	*10.99%*
Assumptions										
Originations Growth %	-	2.08%	9.27%	7.42%	7.33%	**13.00%**	**18.00%**	**16.00%**	**10.00%**	**6.00%**
Loan Sales Growth % / Hard Inputs	-	69.27%	14.41%	(20.3%)	(35.6%)	6,500	7,000	7,500	8,000	8,500
Paydown % of BOP	12.77%	12.62%	12.42%	11.04%	10.88%	11.04%	11.04%	11.04%	11.04%	11.04%

Income Statement Drivers

	Actual					*Estimated*				
Interest Bearing Assets	**2021A**	**2022A**	**2023A**	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Private Education Loans - Avg. Bal.	**20,968**	**20,577**	**21,040**	**21,122**	**22,655**	**20,561**	**21,571**	**23,666**	**26,528**	**29,620**
Y/Y Growth	*(6.50%)*	*(1.87%)*	*2.25%*	*0.39%*	*7.26%*	*(9.2%)*	*4.91%*	*9.71%*	*12.10%*	*11.65%*
FFELP Loans - Avg. Bal.	718	662	574	413	-	-	-	-	-	-
Credit Card Loans - Avg. Bal.	15	29	11	-	-	-	-	-	-	-
Total Loans	**21,701**	**21,267**	**21,625**	**21,535**	**22,655**	**20,561**	**21,571**	**23,666**	**26,528**	**29,620**
Taxable Securities	2,142	2,509	2,544	2,317	1,836	1,850	1,941	2,130	2,388	2,666
Cash & Short-Term Investments	5,140	4,284	4,215	4,700	4,164	3,907	4,098	4,497	5,040	5,628
Earning Assets	**28,983**	**28,061**	**28,384**	**28,552**	**28,655**	**26,318**	**27,610**	**30,292**	**33,956**	**37,914**
Yield % Assumptions										
Private Education Loan	*8.25%*	*9.14%*	*10.86%*	*10.81%*	*10.56%*	*10.60%*	*10.60%*	*10.60%*	*10.60%*	*10.60%*
FFELP Loans	*3.43%*	*4.62%*	*7.19%*	*7.45%*	-	-	-	-	-	-
Credit Card Loans	*4.67%*	*5.10%*	*14.02%*	-	-	-	-	-	-	-
Taxable Securities	*0.65%*	*1.41%*	*2.00%*	*2.65%*	*3.20%*	*3.20%*	*3.00%*	*2.80%*	*2.60%*	*2.40%*
Cash & ST Investments	*0.14%*	*1.93%*	*5.09%*	*5.19%*	*4.25%*	*4.05%*	*3.85%*	*3.65%*	*3.45%*	*3.25%*
Taxable Securities as % of Loans	*9.87%*	*11.80%*	*11.76%*	*10.76%*	*8.11%*	*9.00%*	*9.00%*	*9.00%*	*9.00%*	*9.00%*
Cash & ST Investments as % of Loans	*23.68%*	*20.15%*	*19.49%*	*21.83%*	*18.38%*	*19.00%*	*19.00%*	*19.00%*	*19.00%*	*19.00%*

Talking Points

1. Loan originations projected forward assuming capture of Grad PLUS loans
2. Yields held flat for conservatism, increased demand for student loans could provide pricing power

Projected Income Statement

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$MM	Actual					Projected				
Year	***FY2021***	***FY2022***	***FY2023***	***FY2024***	***FY2025***	***FY2026***	***FY2027***	***FY2028***	***FY2029***	***FY2030***
Interest Income:										
Loans	1,754	1,911	2,326	2,314	2,392	2,179	2,286	2,509	2,812	3,140
Investments	14	35	51	61	59	59	58	60	62	64
Cash & ST Investments	7	83	215	244	177	158	158	164	174	183
Total Interest Income	**1,776**	**2,029**	**2,592**	**2,619**	**2,628**	**2,397**	**2,503**	**2,732**	**3,048**	**3,387**
Deposits	149	192	323	389	343	363	380	417	468	522
Retail & Other Depostis	74	183	511	518	489	427	447	491	550	614
Other Interest Expense	158	167	196	230	295	240	252	277	310	346
Interest Expense	**382**	**543**	**1,030**	**1,138**	**1,125**	**1,029**	**1,080**	**1,185**	**1,328**	**1,483**
Net Interest Income	**1,394**	**1,487**	**1,562**	**1,481**	**1,503**	**1,367**	**1,423**	**1,548**	**1,720**	**1,904**
Net Interest Margin	*4.81%*	*5.30%*	*5.50%*	*5.19%*	*5.24%*	*5.20%*	*5.15%*	*5.11%*	*5.06%*	*5.02%*
Gains on Sale of Loans	548	328	160	255	369	336	349	380	422	467
Gains/(Losses) on Sale of Securities	39	(60)	3	0	(10)	-	-	-	-	-
Other Revenue	45	67	84	113	123	79	82	90	100	110
Noninterest Income	**632**	**335**	**247**	**368**	**483**	**415**	**432**	**470**	**522**	**578**
Total Revenue	**2,026**	**1,821**	**1,809**	**1,849**	**1,985**	**1,782**	**1,854**	**2,017**	**2,242**	**2,481**
Growth %		*(10.1%)*	*(0.7%)*	*2.25%*	*7.35%*	*(10.2%)*	*4.03%*	*8.78%*	*11.14%*	*10.69%*
Provisions for Credit Losses	(33)	633	345	409	333	300	320	340	360	380
Opex	**519**	**557**	**685**	**642**	**659**	**750**	**800**	**854**	**911**	**972**
Growth %		*7.32%*	*22.99%*	*(6.2%)*	*2.69%*	*13.78%*	*6.69%*	*6.69%*	*6.69%*	*6.69%*
EBT	**1,540**	**631**	**778**	**799**	**993**	**732**	**734**	**823**	**971**	**1,130**
Taxes	380	162	197	190	248	182	183	205	242	281
Tax Rate	*24.65%*	*25.64%*	*25.30%*	*23.83%*	*24.96%*	*24.88%*	*24.88%*	*24.88%*	*24.88%*	*24.88%*
Net Income	**1,161**	**469**	**581**	**608**	**745**	**550**	**551**	**619**	**729**	**849**
Preferred Dividends	5	9	18	18	16	10	10	10	10	10
Net Income Attributable to Common Equity	**1,156**	**460**	**564**	**590**	**729**	**540**	**541**	**609**	**719**	**839**
Growth %		*(60.2%)*	*22.54%*	*4.67%*	*23.57%*	*(25.9%)*	*0.23%*	*12.39%*	*18.21%*	*16.57%*

Talking Points

1. Management guided 2026 weakness
2. Increase in opex represents investment in wages, and other professionals to foster connections w/ universities
3. Large opex reduces NI, is within $0.05 of 2026 EPS guidance

TAM Analysis

sallie mae

	Annual Cost	Annual Cap	Avg. Scholarship	Spread	Total Enrollments	% Drop	Post Drops	Borrow Rate	Market	TAM
Private MD	97,000	50,000	8,000	39,000	40,000	5.00%	38,000	90.00%	34,200	1,333,800,000
Public MD	77,000	50,000	8,000	19,000	55,000	5.00%	52,250	85.00%	44,413	843,837,500
JD	85,000	50,000	24,000	11,000	115,000	5.00%	109,250	80.00%	87,400	961,400,000
DDS	100,000	50,000	14,000	36,000	25,000	5.00%	23,750	90.00%	21,375	769,500,000
MBA (Top 50)	110,000	50,000	30,000	30,000	50,000	5.00%	47,500	40.00%	19,000	570,000,000
Masters (Priv.)	62,000	20,500	8,000	33,500	300,000	5.00%	285,000	40.00%	114,000	3,819,000,000
Masters	35,000	20,500	5,000	9,500	3,000,000	5.00%	2,850,000	25.00%	712,500	6,768,750,000
									Total	**15,066,287,500**
									SLM Share	40.00%
									SLM TAM	**6,026,515,000**

Analysis does not include Pharmacy, Veterinary, PA, Doctor of Nursing, Physical Therapy, & other graduate programs.

Sensitivity Analysis

		% Drop Outs								
	6,026,515	1.0%	2.0%	3.0%	4.0%	5.0%	6.0%	7.0%	8.0%	9.0%
SLM Share	20.0%	3,140,132	3,108,413	3,076,695	3,044,976	3,013,258	2,981,539	2,949,821	2,918,102	2,886,384
	30.0%	4,710,197	4,662,620	4,615,042	4,567,464	4,519,886	4,472,309	4,424,731	4,377,153	4,329,575
	40.0%	6,280,263	6,216,826	6,153,389	6,089,952	6,026,515	5,963,078	5,899,641	5,836,204	5,772,767
	50.0%	7,850,329	7,771,033	7,691,736	7,612,440	7,533,144	7,453,848	7,374,551	7,295,255	7,215,959
	60.0%	9,420,395	9,325,239	9,230,084	9,134,928	9,039,773	8,944,617	8,849,462	8,754,306	8,659,151

Bear Case – Implied Downside 25%

sallie mae

Valuation	
Cost of Equity	10.08%
Perpetuity Growth Rate	2.50%
PV of TV	2,307
PV of NI Distributable	1,121
Equity Value	**3,428**
Shares Outstanding	198
Implied Share Price	**$17.30**
Upside	*(25.1%)*

$MM	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Loan Roll Forward										
BOP	19,183	20,341	19,627	20,306	20,902	20,332	20,545	20,951	21,489	22,089
(+) New Originations	6,333	6,465	7,064	7,588	8,144	8,958	9,675	10,352	10,973	11,522
(-) Loan Sales	(2,724)	(4,612)	(3,947)	(4,749)	(6,440)	(6,500)	(7,000)	(7,500)	(8,000)	(8,500)
(-) Paydown	(2,450)	(2,567)	(2,437)	(2,242)	(2,273)	(2,245)	(2,269)	(2,314)	(2,373)	(2,439)
EOP	**20,341**	**19,627**	**20,306**	**20,902**	**20,332**	**20,545**	**20,951**	**21,489**	**22,089**	**22,671**
Growth %		*(3.5%)*	*3.46%*	*2.93%*	*(2.7%)*	*1.05%*	*1.98%*	*2.57%*	*2.79%*	*2.64%*
Assumptions										
Originations Growth %	-	2.08%	9.27%	7.42%	7.33%	**10.00%**	**8.00%**	**7.00%**	**6.00%**	**5.00%**
Loan Sales Growth % / Hard Inputs	-	69.27%	14.41%	(20.3%)	(35.6%)	6,500	7,000	7,500	8,000	8,500
Paydown % of BOP	12.77%	12.62%	12.42%	11.04%	10.88%	11.04%	11.04%	11.04%	11.04%	11.04%

$MM	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Total Interest Income	**2,029**	**2,592**	**2,619**	**2,628**	**2,383**	**2,449**	**2,492**	**2,547**	**2,604**
Growth %	14.29%	*27.71%*	*1.07%*	*0.33%*	*(9.3%)*	*2.77%*	*1.79%*	*2.19%*	*2.22%*
Interest Expense	**543**	**1,030**	**1,138**	**1,125**	**1,023**	**1,039**	**1,062**	**1,091**	**1,120**
Growth %	42.12%	*89.77%*	*10.50%*	*(1.1%)*	*(9.1%)*	*1.51%*	*2.28%*	*2.68%*	*2.71%*
Net Interest Income	**1,487**	**1,562**	**1,481**	**1,503**	**1,359**	**1,410**	**1,430**	**1,456**	**1,483**
Growth %	6.67%	*5.04%*	*(5.2%)*	*1.46%*	*(9.5%)*	*3.71%*	*1.43%*	*1.83%*	*1.85%*
Total Revenue	**1,821**	**1,809**	**1,849**	**1,985**	**1,772**	**1,838**	**1,864**	**1,898**	**1,933**
Growth %	(10.1%)	*(0.7%)*	*2.25%*	*7.35%*	*(10.7%)*	*3.71%*	*1.43%*	*1.83%*	*1.85%*
EBT	**631**	**778**	**799**	**993**	**722**	**717**	**670**	**627**	**581**
Growth %	(59.1%)	*23.40%*	*2.61%*	*24.28%*	*(27.3%)*	*(0.6%)*	*(6.6%)*	*(6.4%)*	*(7.3%)*
Net Income to Common Equity	**460**	**564**	**590**	**729**	**532**	**529**	**493**	**461**	**427**
Growth %	39.80%	*22.54%*	*4.67%*	*23.57%*	*(27.0%)*	*(0.6%)*	*(6.7%)*	*(6.6%)*	*(7.5%)*
CET1 Equity Contribution Target		6.00%	26.00%	33.00%	40.00%	40.00%	40.00%	40.00%	40.00%
Net Income Distribuatable to Share Holders	**460**	**530**	**437**	**489**	**319**	**317**	**296**	**277**	**256**
Partial Period Adj.					*234*	*317*	*296*	*277*	*256*
PV of NI Distributable					**226**	**282**	**239**	**203**	**171**

Bull Case – Implied Upside 64%

sallie mae

Valuation	
Cost of Equity	10.08%
Perpetuity Growth Rate	2.50%
PV of TV	5,801
PV of NI Distributable	1,707
Equity Value	**7,508**
Shares Outstanding	198
Implied Share Price	**$37.89**
Upside	*63.95%*

$MM	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Loan Roll Forward										
BOP	19,183	20,341	19,627	20,306	20,902	20,332	20,952	22,876	26,111	30,080
(+) New Originations	6,333	6,465	7,064	7,588	8,144	9,365	11,238	13,261	14,852	16,338
(-) Loan Sales	(2,724)	(4,612)	(3,947)	(4,749)	(6,440)	(6,500)	(7,000)	(7,500)	(8,000)	(8,500)
(-) Paydown	(2,450)	(2,567)	(2,437)	(2,242)	(2,273)	(2,245)	(2,314)	(2,526)	(2,883)	(3,322)
EOP	**20,341**	**19,627**	**20,306**	**20,902**	**20,332**	**20,952**	**22,876**	**26,111**	**30,080**	**34,596**
Growth %		*(3.5%)*	*3.46%*	*2.93%*	*(2.7%)*	*3.05%*	*9.19%*	*14.14%*	*15.20%*	*15.01%*
Assumptions										
Originations Growth %	-	2.08%	9.27%	7.42%	7.33%	**15.00%**	**20.00%**	**18.00%**	**12.00%**	**10.00%**
Loan Sales Growth % / Hard Inputs	-	69.27%	14.41%	(20.3%)	(35.6%)	6,500	7,000	7,500	8,000	8,500
Paydown % of BOP	12.77%	12.62%	12.42%	11.04%	10.88%	11.04%	11.04%	11.04%	11.04%	11.04%

$MM	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Total Interest Income	**2,029**	**2,592**	**2,619**	**2,628**	**2,406**	**2,586**	**2,877**	**3,284**	**3,762**
Growth %	14.29%	*27.71%*	*1.07%*	*0.33%*	*(8.4%)*	*7.47%*	*11.24%*	*14.16%*	*14.55%*
Interest Expense	**543**	**1,030**	**1,138**	**1,125**	**1,033**	**1,097**	**1,226**	**1,407**	**1,619**
Growth %	42.12%	*89.77%*	*10.50%*	*(1.1%)*	*(8.2%)*	*6.16%*	*11.77%*	*14.71%*	*15.10%*
Net Interest Income	**1,487**	**1,562**	**1,481**	**1,503**	**1,373**	**1,489**	**1,651**	**1,878**	**2,143**
Growth %	6.67%	*5.04%*	*(5.2%)*	*1.46%*	*(8.6%)*	*8.46%*	*10.85%*	*13.75%*	*14.14%*
Total Revenue	**1,821**	**1,809**	**1,849**	**1,985**	**1,789**	**1,941**	**2,151**	**2,447**	**2,793**
Growth %	(10.1%)	*(0.7%)*	*2.25%*	*7.35%*	*(9.9%)*	*8.46%*	*10.85%*	*13.75%*	*14.14%*
EBT	**631**	**778**	**799**	**993**	**739**	**821**	**958**	**1,177**	**1,442**
Growth %	(59.1%)	*23.40%*	*2.61%*	*24.28%*	*(25.5%)*	*10.99%*	*16.70%*	*22.84%*	*22.52%*
Net Income to Common Equity	**460**	**564**	**590**	**729**	**546**	**607**	**710**	**874**	**1,073**
Growth %	39.80%	*22.54%*	*4.67%*	*23.57%*	*(25.2%)*	*11.19%*	*16.98%*	*23.16%*	*22.78%*
CET1 Equity Contribution Target		6.00%	26.00%	33.00%	40.00%	40.00%	40.00%	40.00%	40.00%
Net Income Distribuatable to Share Holders	**460**	**530**	**437**	**489**	**327**	**364**	**426**	**524**	**644**
Partial Period Adj.					*234*	*364*	*426*	*524*	*644*
PV of NI Distributable					**226**	**324**	**344**	**385**	**429**

Comparable Companies Analysis

sallie mae

Comparable Companies

$mm

Ticker	Mkt Cap	Net Charge Off	Effeciency Ratio	Net Interest Margin	1 Yr Rev Growth %
NAVI	$877	2.4%	70.0%	2.5%	(3.7%)
NNI	$3,900	0.5%	N/A	1.3%	50.0%
SOFI	$35,700	2.8%	N/A	5.7%	38.0%
CFG	$22,000	0.4%	62.2%	3.1%	8.6%
Sallie Mae	**$4,490**	**2.2%**	**33.0%**	**5.1%**	**7.3%**

Ticker	Liabilities/Assets	P/E LTM	P/B	ROE	ROA
NAVI	94.0%	NM	0.4x	(10.0%)	0.0%
NNI	74.0%	9.2x	1.1x	12.8%	0.8%
SOFI	83.0%	75.0x	3.9x	5.1%	1.2%
CFG	88.0%	15.2x	1.0x	8.2%	1.0%
Sallie Mae	**91.8%**	**6.6x**	**2.1x**	**30.4%**	**2.5%**
High	94.0%	75.00x	3.90x	30.4%	2.5%
75th Percentile	91.8%	12.20x	2.09x	12.8%	1.2%
Average	**86.2%**	**10.32x**	**1.68x**	**9.3%**	**1.1%**
Median	**88.0%**	**9.20x**	**1.10x**	**8.2%**	**1.0%**
25th Percentile	83.0%	8.54x	0.96x	5.1%	0.8%
Low	74.0%	6.55x	0.37x	-10.0%	0.0%

Insert Company Name		
Implied Enterprise Value (25th Percentile)	$	6,359
Implied Enterprise Value (Median)	$	6,853
Implied Enterprise Value (75th Percentile)	$	9,087
Implied Share Price (25th Percentile)	$	32.09
Implied Share Price (Median)	**$**	**34.58**
Implied Share Price (75th Percentile)	$	45.86

Talking Points

1. SLM leads comps ROE, but is more leveraged than the median of comps, also leads ROA

Capital IQ

Management

Jonathan Witter, CEO



Served as CEO of Sallie Mae since April 2020, bringing nearly **30 years of banking and consumer financial services leadership** to the role. His background is centered on customer experience, retail banking operations, and improving financial performance. He holds a BS in Economics from Vanderbilt University and an MBA in Finance from The Wharton School.

Prior Companies: Hilton FOR THE STAY, Morgan Stanley, Capital One

Pete Graham, CFO



Serves as CFO of Sallie Mae. He brings **more than 30 years of experience in financial services and corporate finance**, previously serving as a CFO and holding senior finance roles of increasing responsibility earlier in his career. He holds a bachelor's degree in accounting from the University of Connecticut.

Prior Companies: PRA Group, GE

SLM Share Price Since 4/20/2020



Kerri Palmer, COO



Serves as COO of Sallie Mae, bringing more than **25 years of financial services leadership** to the role. Her background is centered on risk management, operations, and customer experience across highly regulated environments. She holds a BA in Mathematics and Economics from Wheaton College and an MS in Statistics from Texas A&M University.

Prior Companies: parago, Andersen

Institutional Holders

sallie mae

#	Share Holder	% of Shares	Shares Held
1	BlackRock	10.50%	18,880,810
2	Fidelity Investments	9.53%	17,913,998
3	BRAVE WARRIOR ADVISORS	7.23%	13,584,368
4	Vanguard	5.76%	10,827,129
5	Vanguard	5.22%	9,805,148
6	T.RowePrice	4.49%	8,436,727
7	IMPACTIVE CAPITAL	4.16%	7,822,564
8	Dimensional	4.00%	7,515,030
9	Hotchkis & Wiley	3.45%	6,486,188
10	State Street	3.43%	6,452,230
	Top 10 Total	**57.77%**	**99,287,465**

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